

ICMAI
THE INSTITUTE OF
COST ACCOUNTANTS OF INDIA
भारतीय लागत लेखाकार संस्थान
Statutory Body under an Act of Parliament
(Under the jurisdiction of Ministry of Corporate Affairs)

www.icmai.in



TOPIC NAME: Income Tax **Rebate**



Behind every successful business decision, there is always a **CMA**



What is Section 156?

Background & Renaming

Section 87A

Originally introduced in Finance Act 2013 to provide tax relief for small taxpayers in India.

Renamed → Section 156

Under the Income Tax Act restructuring, rebate provisions were moved and renumbered as Section 156 effective from assessment year 2026-27.

Key Highlights

- Rebate applies to RESIDENT INDIVIDUALS only
- Available under the NEW Tax Regime (default)
- Income threshold: Up to ₹12,00,000
- Maximum rebate: ₹60,000
- Reduces tax liability to ZERO if eligible
- Marginal Relief available near threshold



Who Can Claim the Rebate?

Resident Individual

Must be a Resident Individual as per Section 6 of the ITA. HUFs, firms, companies & non-residents are EXCLUDED.

Income Limit $\leq$ ₹12 Lakh

Total income (before rebate) must not exceed ₹12,00,000 in the new tax regime for AY 2025-26.

New Tax Regime

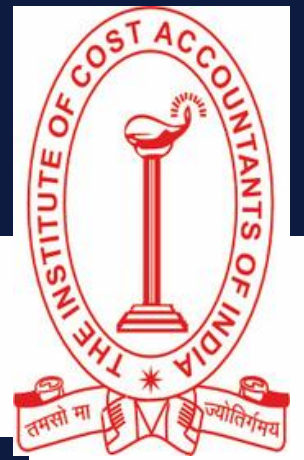
Rebate under Sec. 156 is applicable ONLY under the New Tax Regime (Section 115BAC). Not available under old regime for this threshold.

Section 156 read with Section 115BAC — Finance Act 2025

Exclusions

Special rate incomes (LTCG under Sec. 112A, STCG under Sec. 111A) are excluded from rebate calculations.





How is the Rebate Calculated?

Rebate = **Lower of (a) Tax computed on Total Income OR (b) ₹60,000**

01

Compute Gross Total Income

Aggregate all income heads: Salary, House Property, PGBP, Capital Gains, Other Sources

02

Apply Deductions (Chapter VIA)

Subtract eligible deductions (Note: Most deductions not available in New Regime, except 80CCD(2), 80CCH)

03

Compute Tax on Net Income

Apply new regime slab rates: 0% up to ₹4L; 5% ₹4-8L; 10% ₹8-12L; 15% ₹12-16L; etc.

04

Apply Section 156 Rebate

If total income $\leq$ ₹12L, rebate = tax payable (subject to max ₹60,000). Final tax = NIL

New Regime Slabs effective FY 2025-26 per Finance Act 2025



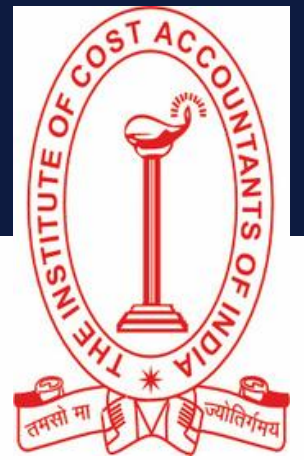


FY 2025-26 Slab Rates (New Regime)

Income Range	Tax Rate	Tax on Slab (₹)	Rebate Status
Up to ₹4,00,000	NIL	0	✓ Nil Tax
₹4,00,001 – ₹8,00,000	5%	Up to ₹20,000	✓ Rebate Applies
₹8,00,001 – ₹12,00,000	10%	Up to ₹40,000	✓ Rebate Applies
₹12,00,001 – ₹16,00,000	15%	Starts ₹60,001+	✗ No Rebate
₹16,00,001 – ₹20,00,000	20%	Continues...	✗ No Rebate
₹20,00,001 – ₹24,00,000	25%	Continues...	✗ No Rebate
Above ₹24,00,000	30%	Continues...	✗ No Rebate

Standard deduction of ₹75,000 for salaried individuals is also available under new regime





What is Marginal Relief?

The Problem:

A taxpayer with income of ₹12,00,001 (just ₹1 above the threshold) would ordinarily pay tax on the full amount — losing the rebate entirely. This creates a 'cliff edge' where earning ₹1 more results in tax of ₹60,000+, which is clearly inequitable.

The Solution — Marginal Relief:

Tax payable = **Excess of income over ₹12,00,000**

So if income = ₹12,20,000 → Tax = ₹20,000 (not ₹63,000+). The taxpayer never pays more tax than the income exceeds ₹12L.

Formula: Marginal Relief Tax = Income – ₹12,00,000 | Apply whichever is LOWER: Normal Tax vs Marginal Relief Tax



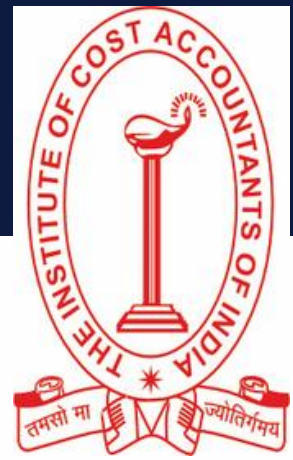


Step-by-Step: 3 Case Studies

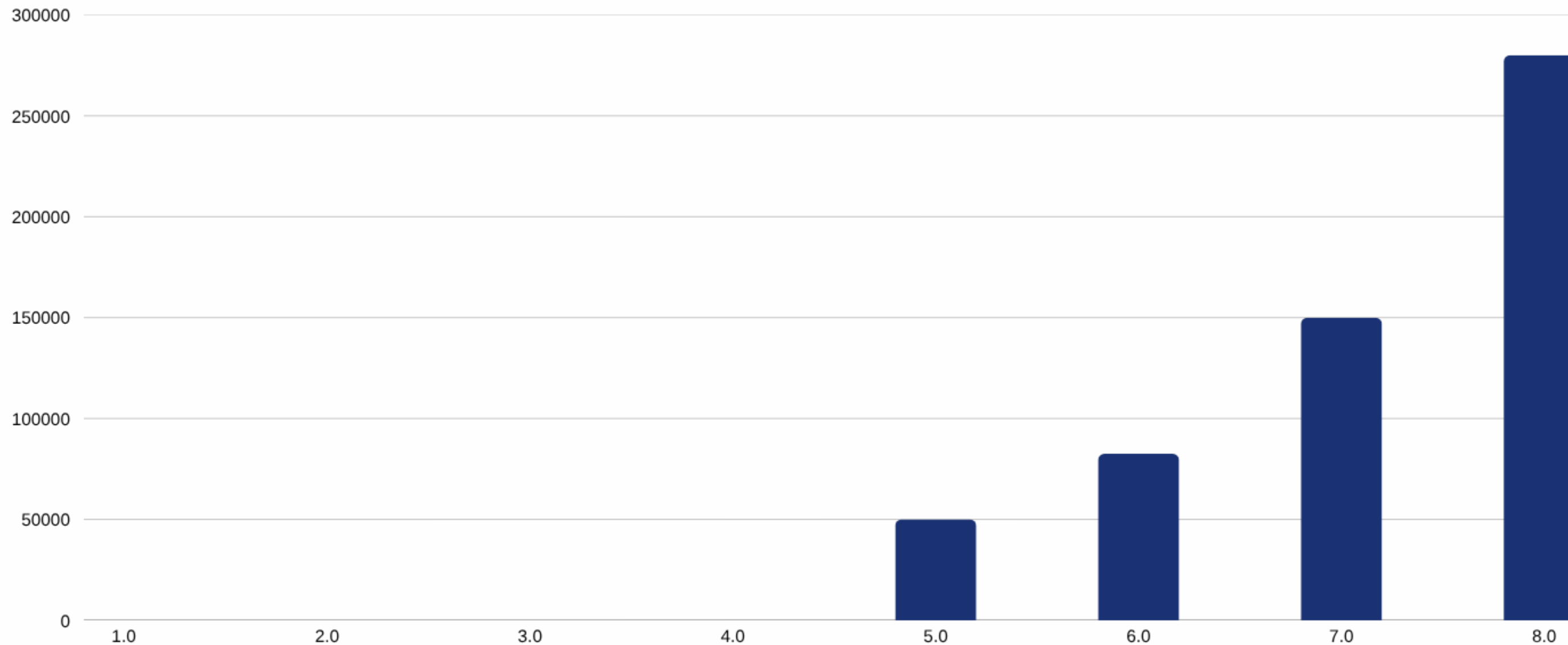
	Case A	Case B	Case C
Total Income	₹11,00,000	₹12,50,000	₹13,00,000
Tax (Before Rebate)	₹60,000	₹75,000	₹82,500
Section 156 Rebate	₹60,000	0	0
Marginal Relief	N/A	₹50,000	₹1,00,000
FINAL TAX PAYABLE	₹0 (NIL)	₹50,000	₹82,500
Status	Full Rebate	Marginal Relief	No Relief Applies

Case B: Tax limited to ₹50,000 (excess over ₹12L). Case C: Normal tax < Marginal Relief, so normal tax applies.





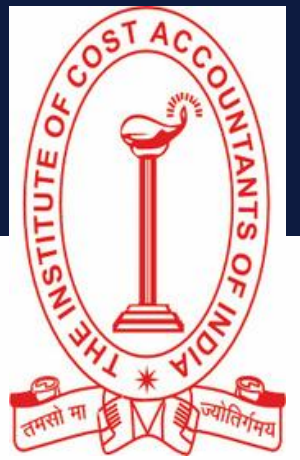
Effective Tax Liability vs. Income Level



Blue bars = Zero tax (rebate eligible) | Amber = Marginal relief zone | Red = Normal taxation

Behind every successful business decision, there is always a **CMA**





Auto-Reflection of Rebate in ITR Forms

ITR-1 (Sahaj)

Who: Salaried individuals, income up to ₹50L

Rebate Field:

Part B-TTI: Schedule Rebate auto-computes Sec. 156 relief

ITR-2

Who: Individuals with capital gains, multiple properties

Rebate Field:

Part B-TTI → Schedule TTI: Sec. 156 computed after excluding special rate incomes

ITR-3

Who: Individuals with business/profession income

Rebate Field:

Schedule TTI → Row 7: Tax rebate Sec. 156 auto-filled by software

ITR-4 (Sugam)

Who: Presumptive scheme taxpayers (44AD, 44ADA)

Rebate Field:

Part B-TTI: Rebate auto-populated based on total income check

Income Tax Filing Portal auto-computes rebate. Taxpayers must select 'New Tax Regime' in filing options.

Behind every successful business decision, there is always a **CMA**



Section 156 Rebate — Summary



1	Eligibility:	Resident Individuals only • New Tax Regime • Total income $\leq$ ₹12,00,000
2	Rebate Amount:	Lower of tax payable or ₹60,000 — effectively reduces tax to ZERO for eligible taxpayers
3	Marginal Relief:	For incomes just above ₹12L: Tax = (Income – ₹12L). Prevents punitive 'cliff-edge' taxation
4	Special Income Exclusion:	LTCG (Sec. 112A), STCG (Sec. 111A) and other special-rate incomes are NOT eligible for rebate
5	ITR Auto-computation:	ITR-1 to ITR-4 all auto-reflect Sec. 156 rebate in Part B-TTI / Schedule TTI fields

Thank You



ICMAI
THE INSTITUTE OF
COST ACCOUNTANTS OF INDIA
भारतीय लागत लेखाकार संस्थान

Statutory Body under an Act of Parliament
(Under the jurisdiction of Ministry of Corporate Affairs)

www.icmai.in

Headquarters:

CMA Bhawan, 3, Institutional Area, Lodhi Road, New Delhi - 110 003

Ph: 011-24622156

Kolkata Office:

CMA Bhawan, 12, Sudder Street, Kolkata - 700 016

Ph: 033-40364743/40364735

Tax Research Department

Email: trd@icmai.in / trd.director@icmai.in

Ph: 033 - 4036 4714 / 4036 4718

Behind every successful business decision, there is always a **CMA**

